

Collections Strategy Recommendation Report

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1. Summary of Predictive Insights

Top 3 Risk Factors

- Customers with 2 or more missed payments showed significantly higher delinquency risk.
- High credit utilization was strongly associated with increased delinquency probability.
- Customers with lower credit scores demonstrated higher chances of missed repayments.

High-Risk Customer Segments

- Customers aged between 47–60 showed relatively high delinquency counts.
- Unemployed customers had higher delinquency levels compared to other employment groups.
- Customers with moderate-to-high debt-to-income ratios were more likely to become delinquent.
- Customers with higher debt-to-income ratios and repeated payment delays showed elevated delinquency patterns.

2. SMART Recommendation Framework

SMART Recommendation

Launch a 6-week SMS and reminder outreach campaign targeting customers with 2 or more missed payments and high credit utilization rates, with the goal of reducing 30-day delinquency rates by 10%.

This recommendation is specific, measurable, achievable, relevant, and time-bound. Early communication with high-risk customers may improve repayment behavior and reduce future collection risk.

3. Ethical and Responsible AI Considerations

Fairness Risks and Mitigation

- The predictive model may unintentionally disadvantage certain customer groups such as unemployed individuals or lower-income customers. Regular bias monitoring should be conducted to ensure fair treatment.

- Model predictions should support human decision-making rather than fully automate financial actions. Analysts should review high-risk cases before final collection actions are taken.

Responsible AI Use

The model should remain transparent and explainable so that stakeholders can understand how predictions are generated. Customer privacy and financial data confidentiality must also be protected during analysis and decision-making. Regular model monitoring should be conducted to ensure prediction accuracy remains stable over time as customer behavior changes.

Conclusion

The analysis identified missed payments, credit utilization, and credit score as the strongest indicators of delinquency risk. The recommended outreach strategy focuses on early intervention for high-risk customers to reduce future collection issues. By combining predictive analytics with responsible AI practices, Geldium can improve collections efficiency while maintaining fairness and transparency in decision-making. These insights can help Geldium improve proactive collections strategies and reduce financial risk through data-driven decision-making.